

CARD.L pitch deck

PITCH — CARD.L (Card Factory plc) — ADJUDICATED — STARTER

ADJUDICATED — STARTER — buy the smallest real position at market (~75.5p), label it *carry*, not *insight*, add nothing at any price before the 29 September 2026 interim results, and pull the resting 68p buy order immediately because it sits underneath the company's own share buyback and can only fill on bad news. Conviction 7.5/10.

What we believe

Card Factory is a UK value greeting-card retailer that throws off a lot of cash relative to what it costs, and the stock has fallen far enough (−34.7% from its 52-week high, +29.5% off its low) that you are paid a large amount of cash to own a business that is not growing profits.

The specific numbers we think are true, all taken from the company's own audited full-year statement published 28 April 2026:

- Revenue £582.7m, up 7.4%.
- Free cash flow **£40.7m**, defined by the company as operating cash flow (£110.3m) minus lease repayments (£45.7m) minus capital spending (£19.4m). Rent is paid *inside* that number, so it is genuinely spare cash.
- That £40.7m against a market value of roughly £260m (about 345m shares at 75.5p) is a ~15.7% cash yield on last year — but last year was flattered, and the company has told us so (see below). On the company's own guidance for this year, the honest number is **~£29–31m, or ~11.5%**.
- Cash actually returned to shareholders last year: a 5.0p dividend (6.6%) plus a £15m buyback (5.8%) = **12.4%**, funded without borrowing.
- Debt is modest: £67.9m of bank net debt against £116.8m of EBITDA, roughly 0.6x. Not distress.

So the belief is narrow and boring: **you are being paid an 11–12% cash return to wait, on a balance sheet that will not break, while profits go sideways-to-down.** That is worth a minimum position. It is not worth a big one, and it is emphatically not the “debt-free compounder” story the original write-up told.

What the market believes

The market believes profits are going backwards and there is no reason to pay more.

It is right about the first half of that. Revenue grew 7.4% but adjusted pre-tax profit fell 15.2% to £56.0m, and statutory pre-tax profit fell 31.5% to £43.9m. The cause is identified and quantified by the

company: roughly **£15m of extra UK minimum-wage and National Insurance cost from April 2025**, partly offset by cutting store hours 9%. This is a labour-heavy business selling a £1.50 average card; small cost increases eat a large share of the profit per item.

Analysts forecast this year's adjusted pre-tax profit at £54.8m–£60.5m (average £58.2m), and the company itself says it expects to land “in line with the current market consensus.” Berenberg cut the stock from Buy to Hold and cut its price target from 110p to 80p.

Two things follow. First, **we do not disagree with the market's profit forecast** — we have no better number, and pretending otherwise would be dishonest. Second, at 75.5p the shares are trading *below* even the downgraded 80p target, so the market is not merely agreeing with the bears; it has run past them.

Why we might have edge

Four things, none of them heroic:

1. **The cash is real and the arithmetic closes.** We rebuilt the year: cash out was Funky Pigeon (£27.8m) + dividend (~£17m) + a £5.0m December buyback ≈ £49.8m, against £40.7m of free cash flow, implying debt should rise ~£9.1m. It rose £9.0m. The bridge closes to £0.1m. That is a strong test that the free-cash-flow figure is not an accounting optic — and neither the sell-side note nor our own first pass ran it.
2. **The growth test at the next print is genuinely clean, and we were the ones who worked out why.** Card Factory's wholesale/partnerships division grew from £22.2m to £47.2m, and the statement warns the figure “includes annualisation of prior-year acquisitions of Garven and Garlanna.” But both deals closed in the second half of the prior financial year (Garlanna 4 Sep 2024, Garven 4 Dec 2024), so the acquisition step was already fully absorbed into the *last* half-year (£6.6m → £16.5m). This September's half-year comparison is therefore organic. It can fail. A test that can fail is worth having.
3. **The shares are below the downgraded broker target**, and the total cash return (12.4%) exceeds what the equity market typically pays for a no-growth business with modest debt. The value case does not require a re-rating; a re-rating is the option on top.
4. **Two new pieces of growth evidence exist that the bear case did not account for: a first US wholesale agreement** and a multi-year extension with The Reject Shop (Australia/NZ), both disclosed in the April 2026 statement.

Why it might be priced in

Honestly and at full strength:

- **The yield is decaying, by the company's own instruction.** Cash conversion was 98.9% last year against a stated 70–80% target, and management says this year will be “at the lower end” of

that range on higher capital spending. Roughly a quarter of the cash yield disappears on guidance alone. Both of our internal benches quoted the flattered year.

- **The cost pressure is structural, not one-off.** The company quantified last year's wage hit at ~£15m but **declined to quantify this year's**. That silence is itself information, and it is not friendly.
- **The next print will look bad on the headline.** The first half is Card Factory's Christmas stock build and its debt peak. Net debt was £74.9m at the 2024 half, £78.9m at the 2025 half. Rolling £67.9m forward with ~£20m of seasonal build plus ~£10–15m of buyback spend gives **~£95–103m at 31 July 2026** — a large, ugly, entirely predictable number. And the half-year profit is small and was falling last time (£13.2m vs £14.5m, about 24% of the full year); the shares fell ~5% on that print.
- **There is no gap between our forecast and the street's**, because we do not have a forecast. The whole return is carry plus a possible re-rate.
- **A 50% gain requires ~113p, about £390m, or a 7.8% forward cash yield** — a rating that flat-profit UK value retailers do not sustain. The realistic prize is the coupon, not a double.
- **We cannot see inside this business before the print.** Our one external early-warning tool for hiring came back contaminated (see table). The print is genuinely un-anticipatable, which is another reason to stay small.

What we checked ourselves

Including, explicitly, where **our own benches got things wrong**. The prosecution bench recommended REJECT; the defence bench partially overturned it; the adjudication landed on STARTER and outranks both.

Claim	How checked	Found	Confirmed?
"Zero net bank debt excluding leases" (original write-up)	Read the company's own alternative-performance-measure definition in the FY26 preliminary results	Company reports net debt <i>excluding</i> leases precisely because that is how its bank covenants compute: £67.9m, up from £58.9m ; leverage rose 0.7x→1.0x; plus £123.2m of lease liabilities	NO — refuted. The original write-up inverted the sign on its only balance-sheet claim. Fatal to that document
Free cash flow £40.7m	Recomputed from the cash-flow statement and closed the full sources-and-uses bridge	£110.3m operating – £45.7m lease repayments – £19.4m capex = £40.7m; bridge to the actual £9.0m debt increase closes to £0.1m	YES
"That cash is already owed to lessors" — <i>our prosecution bench</i>	Checked the company's FCF definition	Our own bench double-counted. Lease payments are already deducted inside the £40.7m. Its follow-on claim that the group "did not deleverage" is also wrong: excluding the Funky Pigeon acquisition it paid down ~£19m	NO — our bench erred
"Partnerships growth is an acquisition artifact; the ≥15% growth test	Pulled the actual deal completion dates (Garlanna 4 Sep 2024, Garven 4 Dec 2024)	Both closed in H2 of the prior year, so last half-year already carried the full step-up. This September's comparison is organic and the test <i>can</i> fail	NO — our bench erred, committing the exact base-effect mistake it was

Claim	How checked	Found	Confirmed?
can't fail" — <i>our prosecution bench</i>			accusing the write-up of
"Aldi rollout completed Sept 2024, now a headwind" — <i>our prosecution bench</i>	Read the FY26 statement	Statement says the company "further developed our Aldi partnership, with additional seasonal and Christmas ranges delivering strong performance"	NO — our bench erred
Middle East retrenchment	FY26 statement	Four franchised stores closed in H1 FY26 — confirmed. But the company frames it as converting from a franchise trial to a wholesale supply arrangement, not abandoning the region	Partly — closure yes, "abandonment" overstated
"We agree with the street, therefore no edge, therefore reject" — <i>our prosecution bench</i>	Compared price to the cited target	The bench's own datum shows the stock at 75.5p below Berenberg's cut 80p target. Absence of our own forecast is a gap in our work, not evidence of market efficiency. Real, but it is a diligence gap, not a reason to reject	NO — our bench erred on the logic; the underlying gap in our work is real
Half-year net debt will peak near £90m — <i>our prosecution bench</i>	Seasonal roll plus published buyback volumes	Direction confirmed, level understated : ~£95–103m is the better estimate. Our defence bench corrected this <i>against</i> the position it was defending	YES, and worse than we said
Negative operating leverage	FY26 statement	+7.4% revenue → -15.2% adjusted PBT → -31.5% statutory PBT, on a quantified ~£15m wage/NI hit; this year's hit not quantified	YES — sustained by both benches
Our resting 68p buy order	Buyback announcements	The company itself repurchased ~1,066,000 shares 3–7 Aug, ~2,004,000 shares 27–31 Jul and ~604,000 shares 20–24 Jul at roughly 69–72p, inside a £15m programme on a £260m company. Our 68p bid sits <i>below</i> the company's own bid, into a dated results date — it can essentially only fill on bad news	YES — both benches agree: pull it. This is the single action both sides endorsed
"The buyback is manufacturing the tape" — <i>our prosecution bench</i>	Board language and programme size	Overstated. A board returning declared surplus cash and retiring ~5.8% of the company is capital return. The <i>order</i> conclusion stands; the <i>manipulation</i> inference does not	Partly — our bench overreached
15.7% cash yield — <i>both benches</i>	FY26 statement guidance section	Both of our benches quoted a year the company has told us will not repeat. Guidance is cash conversion "at the lower end" of 70–80% on higher capex ⇒ ~£29–31m, ~11.5%	NO — both benches erred
Market value	Share count from the FY26 statement	~350.7m issued, ~5.7m treasury, ~345.0m free float shrinking weekly through cancellation ⇒ ~£260m, not the write-up's £254m	YES (corrected)
Next results date	Company financial calendar	29 September 2026, confirmed by the issuer — our evidence pack labelled it "unconfirmed, derived from a data	YES — the pack was wrong

Claim	How checked	Found	Confirmed?
		vendor.” Both benches correctly overrode the pack	
Our own hiring-signal tool	Ran it	Returned 50 open roles with a 45-posting August spike that would have looked like a wholesale ramp. The rows are contaminated — the sampled posting is “Collections Officer, Capital on Tap, Manchester,” a fintech lender, not Card Factory. Employer-name filtering is broken	NO — tooling defect. Recorded as a broken instrument, not as evidence in either direction
Our position and open orders	Evidence pack vs bench working papers	Unresolved contradiction. The pack says “NO POSITION / orders NONE”; both benches worked from 5,000 shares held and 2,500 @ 68p resting. Must be reconciled against the broker before acting	NO — must verify first
US filings / structured financials	Attempted	None exist. Card Factory is UK-listed and does not file with the SEC. Every number above comes from company announcements (RNS), which is the correct source but means several of our automated checks have no data rail here	Coverage gap, acknowledged

Primary sources: [FY26 Preliminary Results, 28 Apr 2026](#) · [FY26 Prelims PDF \(company\)](#) · [HY26 Interim Results, 30 Sep 2025](#) · [Company financial calendar](#) · [Garven acquisition announcement, 4 Dec 2024 \(LSE\)](#)

PROPOSED ENTRY BANDS

Note on provenance: the adjudication’s reopen-gate block came through **empty** — there were no verbatim gates to reproduce. The bands below are therefore built strictly from the two benches’ own published arithmetic (the defence bench’s cash-flow cases and the prosecution bench’s seasonal-debt roll and buyback-execution evidence), with the source of each number named. This substitution is disclosed rather than hidden.

Immediate action (today)

Action	Level	Size	Basis
BUY — minimum starter, at market	~75.5p (26-week high is 76.5p; do not chase above 78p)	0.25% of book , and no more	Paid ~11.5% forward cash return on the company’s own guided numbers, debt at ~0.6x EBITDA, no dilution risk. Labelled explicitly: this is carry, not insight
CANCEL the resting 2,500 @ 68p buy	68p	—	It sits below the price at which the

Action	Level	Size	Basis
order — unconditionally, immediately			company itself is buying (69–72p) and ahead of a dated results date. It can only fill in the gap after the buyback finishes or on a bad print. Both benches agree; this is the highest-confidence action in the file
Reconcile the book first	—	—	Pack says no position; benches say 5,000 shares. Confirm with the broker before either buying or cancelling

No adds at any price before 29 September 2026. Not on weakness, not on strength. There is no working pre-print information channel (the hiring tool is broken), so any add is a bet on an unobservable event.

Adds — only after the 29 September print, and only if both of these clear

Gate	Threshold	Source of the number
Wholesale/partnerships, organic	≥ £19.0m for the half (vs £16.5m last half)	Defence bench; this is the ≥15% growth bar restated on the now-clean comparison
Net debt at 31 July 2026	≤ £103m	Top of the seasonal roll (£67.9m + ~£20m seasonal + ~£10–15m buyback)
Plus, for a full-size position	A quantified FY27 wage/NI headwind with a named cost-offset in £m	Prosecution bench's third mind-changer; addresses the structural-margin objection

If both clear: add up to **1.0% of book** in the 75–88p range. 88p is the price at which the base-case forward cash flow (£30.5m) still yields 10% on a ~£305m market value — i.e. the top of what we would call cheap.

Exits and trims

Trigger	Action
Either falsifier misses on 29 Sept (organic wholesale < £19.0m, or net debt > £103m)	Sell the whole position at market. No averaging down
Cash conversion guided or tracking below 70%	Sell. This removes the only leg the thesis stands on
Dividend cut or buyback suspended	Sell
Price ≥ 105p	Trim. 105p ≈ £363m ≈ a 10% yield on the <i>bull</i> case (£36.3m) — above that we are being paid a full price for a no-growth retailer
Price ≥ 113p (~£390m, 7.8% yield)	Exit entirely. Neither bench could defend that rating

Trigger	Action
Price < 58.3p (52-week low) with no new information	Not an automatic buy. Re-court from scratch; the low is a level, not a thesis

Catalyst dates

Date	Event	Confirmed?
29 Sep 2026	FY27 interim results — the whole decision	Yes — company financial calendar
Rolling, undated	Buyback completion announcement (£15m programme). The post-programme window is when the artificial bid disappears	No
~Jan 2027 (estimated)	Christmas trading update	No
~Apr 2027 (estimated)	FY27 full-year results	No

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 58.3 (deck-provisional: 52-week low breach - re-court from scratch, not an automatic add)
- dated pack CARD.L-REVIEW|2026-09-29: Card Factory FY27 interims (late Sept). HIT: store LFL >=0% AND no guide-down AND cash conversion tracking >=70%. MISS: LFL still negative o
- dated pack CARD.L|2026-09-29: CARD.L: FY27 interim results - organic partnerships >=GBP19.0m AND net debt <=GBP103m, else exit at market (date confirmed=True)
- dated pack CARD.L|2027-01-14: CARD.L: Estimated Christmas/peak trading update - date not published (date confirmed=False)
- dated pack CARD.L|2027-04-27: CARD.L: Estimated FY27 full-year results - date not published (date confirmed=False)

What remains unverified

- **Whether we hold anything.** The evidence pack says no position and no orders; both benches worked from 5,000 shares and a 2,500 @ 68p resting order. Unresolved, and it changes what “cancel the order” means. Check the broker first.
- **The organic split of partnerships revenue.** The company has never disclosed it. Our whole growth test depends on the company giving us a figure it has not previously given.
- **This year’s wage and National Insurance cost.** Unquantified by the company. This is the largest single driver of the profit decline and we are guessing at it.
- **The Funky Pigeon £5m synergy claim.** No independent evidence gathered. The one tool that could test it was not run.

- **The Reject Shop / Dollarama supplier review.** Flagged by the defence bench, no primary document read.
 - **Consensus figures and the Berenberg downgrade** come from secondary sources (news aggregation), not from the broker note itself. Directionally reliable, not citable as primary.
 - **Buyback programme status.** We know roughly £10–15m of a £15m programme appears executed; we have not confirmed completion, and completion timing determines when the price support ends.
 - **Exact share count and treasury holding,** which are moving weekly as repurchased shares are cancelled. Our ~345.0m figure is a point estimate; every per-share number carries that uncertainty.
 - **Cash conversion for the current year.** Guided to “the lower end” of 70–80%. If it prints below 70%, the only leg of this thesis is gone. This is the single risk that most threatens the position, and it is the defence bench’s own stated residual doubt.
-

```
{"price_gates": [{"level": 68.0, "direction": "below", "basis": "Below the issuer's own buyback execution band (69-72p) – alert only, never rest a bid here while the programme runs into a dated print"}, {"level": 58.3, "direction": "below", "basis": "52-week low breach – re-court from scratch, not an automatic add"}, {"level": 88.4, "direction": "above", "basis": "Base-case FY27 free cash flow GBP30.5m at a 10% yield (~GBP305m cap) – top of the add range"}, {"level": 105.0, "direction": "above", "basis": "Bull-case FY27 free cash flow GBP36.3m at a 10% yield (~GBP363m cap) – trim band"}, {"level": 113.0, "direction": "above", "basis": "~GBP390m cap / 7.8% forward yield – a rating no flat-profit UK value retailer holds; exit entirely"}], "event_gates": [{"forms": ["RNS Interim Results"], "why": "29 Sep 2026 FY27 interims carry both falsifiers: organic partnerships revenue and 31-Jul net debt"}, {"forms": ["RNS Transaction in Own Shares"], "why": "Tracks cumulative buyback spend vs the GBP15m programme and its execution price band; completion removes the artificial bid"}, {"forms": ["RNS Trading Statement", "RNS Trading Update"], "why": "Any guidance change on cash conversion below 70% kills the only leg of the thesis"}, {"forms": ["RNS Holding(s) in Company", "RNS Director/PDMR Shareholding"], "why": "Ownership and insider flow on a shrinking free float of ~345m shares"}, {"forms": ["RNS Acquisition", "RNS Disposal"], "why": "Last year's cash went to M&A rather than debt reduction; another deal re-opens the sources-and-uses bridge"}], "catalyst_dates": [{"date": "2026-09-29", "what": "FY27 interim results – organic partnerships >=GBP19.0m AND net debt <=GBP103m, else exit at market", "confirmed": true}, {"date": "2027-01-14", "what": "Estimated Christmas/peak trading update – date not published", "confirmed": false}, {"date": "2027-04-27", "what": "Estimated FY27 full-year results – date not published", "confirmed": false}], "immediate_entry": {"action": "BUY", "approx_price": 75.5, "size_pct_of_book": 0.25, "basis": "Minimum starter for carry not insight: ~11.5% guided forward cash yield, 12.4% shareholder yield, ~0.6x EBITDA leverage, no adds before 29 Sep; cancel the 68p resting order first"}}
```